

CGST Act, 2017 - Section 16: Eligibility and conditions for taking input tax credit (extract)

16(1). Every registered person shall, subject to such conditions and restrictions as may be prescribed, be entitled to take credit of input tax charged on any supply of goods or services or both to him which are used or intended to be used in the course or furtherance of his business.

16(2). Notwithstanding anything contained in this section, no registered person shall be entitled to the credit of any input tax in respect of any supply of goods or services or both to him unless -

- (a) he is in possession of a tax invoice or debit note issued by a supplier registered under this Act;
- (aa) the details of the invoice or debit note have been furnished by the supplier in the statement of outward supplies and such details have been communicated to the recipient in the manner specified under section 37;
- (b) he has received the goods or services or both;
- (ba) the details of input tax credit communicated to such registered person under section 38 have not been restricted;
- (c) subject to section 41, the tax charged in respect of such supply has been actually paid to the Government; and
- (d) he has furnished the return under section 39.

16(4). A registered person shall not be entitled to take input tax credit in respect of any invoice or debit note for supply of goods or services or both after the thirtieth day of November following the end of the financial year to which such invoice or debit note pertains or furnishing of the relevant annual return, whichever is earlier.

Practical effect: credit is available only where the supplier has reported the invoice (so it appears in FORM GSTR-2B) and the other conditions of sub-section (2) are met. An invoice recorded in the recipient's books but absent from GSTR-2B fails condition (aa) until the supplier reports it.

Extract simplified for demonstration. All parties, figures and GSTINs are fictional. Verify statutory text against the enacted version before reliance.